

1919 INCOME TAX DRIVE UNDER WAY

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the tax, but nearly all will be obliged to make a sworn statement of the year's income. I am therefore advising every unmarried person who earned \$1000.00 or over during the year 1918, and every married person, who together with wife or husband, earned \$2000.00, to sharpen his pencil and figure out how he stands. He must ascertain accurately his gross income from all sources. There's his salary or wages, including overtime pay and any bonus received as additional compensation. A married person having children under eighteen who are working, should include the earnings of such children.

"If he sold any property at a profit the gain must be computed and included in gross income. If he rented any property to other persons, the total rents received in the year must be ascertained, and from that figure a deduction may be taken for taxes paid on rented property. For the necessary minor repairs, fire insurance, any interest he may have paid on mortgage, and a reasonable allowance for annual wear and tear of the rented property. The balance is included in gross income for the year.

"Interest on bank deposits, whether withdrawn or added to his bank balances, must be included in all calculations of income. Bond interest received during the year must also be included, except interest on municipal, county or state bonds. Interest on United States bonds need not be included by the ordinary bond holder who purchased small amounts. Holders of large amounts of Liberty bonds, however, should ask their bankers to write to my office for the rule applying to tax on such interest.

"Dividends on stock shares are income, and must be included in the gross figures, although the law does not impose the normal tax on distributions made by domestic corporations.

"A person buying and selling merchandise must find his profits for the year on the following basis: First ascertain the gross sales or total cash receipts. Then add together the inventory at the beginning of the year and the purchases for resale. From this latter sum subtract the inventory of goods on hand at the year's end, and the result is the cost of goods sold. This cost, plus necessary expenses incurred solely through conduct of the business, is to be deducted from the gross sales, and the result is the net earnings of the business.

"A professional man arrives at his professional income by ascertaining the total of fees for services and deducting therefrom all expenses connected directly and solely with his practice.

"A farmer must figure up all income derived from the sale or exchange of products during the year, whether such produce was raised on the farm or purchased and resold. He is allowed to deduct from this total his expenses of the year connected with the planting, cultivation, harvesting and marketing of the crop, or the care, feeding and marketing of livestock. He is not allowed to deduct the amount expended in 1918 in purchasing stock for resale; but when such stock is sold its cost is to be deducted from the sale price in ascertaining the gain to be included in his return of income. The cost price of stock bought prior to 1917 cannot be deducted as in the case just cited, if such cost was included in the deduction made in the year of purchase.

"The farmer is not required to include in his income tax computation the value of farm produce consumed by himself and family. But in cases where he exchanged produce for merchandise, groceries, etc., the market value of the articles received in exchange must be included.

"All other items of income arising during the year through personal service, business or trade, through use of property or money, should be added into the gains for 1918.

"Everybody wants to know what income is exempt from tax. Very few plums that fall to the average man may be legally disregarded in figuring up his 1918 income. Gifts and bequests can be eliminated; also proceeds of life insurance received by the beneficiary of an insured person. A person who cashed in an endowment policy need report as income only that portion which exceeds the total of the premiums he paid in all years on that policy. Annuities are not taxable, unless the persons received in the year payments which represent, when added to all prior

payments on the annuity, an amount greater than the original cost of the annuity. Dividends on unexpired life insurance policies are not taxable income; but dividends on paid up policies must be considered income. Alimony is not income to the recipient, nor is it an allowable deduction on the part of the person who pays.

"From the total of all items of income, there are certain deductions allowable by law. All interest paid on personal indebtedness and all taxes paid during the year are deductible, except Federal Income and Excess Profits taxes, inheritance taxes and assessments for local improvements, such as sidewalks, sewers, etc. Losses incurred in business or trade are allowable, also losses arising from fires, storms, shipwreck or other casualty, or from theft, in cases where such losses are not compensated for by insurance or otherwise. Losses incurred outside of a person's regular business are allowable to the extent of gains reported from similar transactions within the year. Debts due to the taxpayer actually ascertained to be worthless during the year are deductible.

"Depreciation on property used in a profession, in business or in farming is another item that may be claimed as a deduction. The storekeeper may claim depreciation on his fixtures and on his delivery horses and wagons, but not on his stock held for sale. The professional man may claim similar deduction on a team or auto for making his calls on patients, reasonable depreciation may be claimed. The farmer may claim depreciation on his farm buildings, aside from his personal residence, also on his farm machinery, his work horses and farm work wagons. The theory of depreciation in connection with the Income Tax, is that wear and tear caused by use in earning income is a real expense in the earnings of the income. The rate is determined by the number of years that the property ordinarily would be useful and the cost of the property is the basis of the computation. If the property suffering depreciation was bought or acquired prior to March 1, 1913, the market value as of that date is used, instead of the cost, in figuring depreciation.

"Contributions or gifts actually made in 1918 to organizations operating exclusively for religious, charitable, scientific or educational purposes, and to societies for the prevention of cruelty to children or animals, may be deducted, to an amount not exceeding 15% of the net income computed without the benefit of this deduction.

"After the total of all income of found, and the deduction allowable by law has been computed as an offset, the amount of income in excess of such deductions is the net income, which forms the basis of the assessment of tax.

"If every person in this district will examine his own 1918 income and his allowable deductions, in line with data that I have given, he will know beyond doubt whether he must file his return when the blanks arrive. And here is how he will determine his liability to file a return. If he is single he must file if his net income was \$1000.00 or more, and this requirement is enforced whether or not he is the head of a family. If he is married, he must file his return if his net income, including that of his wife and minor children, was \$2000.00 or more.

"I want to emphasize the cooperation feature of the collection of the Income Tax this year. This policy of the Internal Revenue Bureau is to aid tax payers to meet the requirements of the law. We are going right to the people, not to swing clubs or to mulct the wage-earner of his savings, but offering every helpful governmental function that will assist people to do their duty."

NOTICE OF ESTRAY SALE

Notice is hereby given that, by order of the court of Dist. 5, Clackamas County, Oregon, I will sell at public sale on February 5th, at 10 o'clock a. m., at my home at Roethe station, Clackamas County, Oregon, one Jersey heifer about two (2) years old, color dark Jersey, to satisfy the costs of advertising, care, feed and other costs of sale.

This animal was taken up January 3, 1919.

This notice is published in the Oregon City Courier, January 16, 1919, and January 23, 1919.

OTTO P. ROETHE, Milwaukie, Oregon, Rt. 1.

Notice to Contractors—Grading

Sealed proposals for grading a part of the road on the south bank of the Willamette river in sections 22 and 27 Tp. 3 S. 1 W. M. will be received until 11 o'clock A. M. February 7th, 1919, at the County Court room at Oregon City, Oregon. All bids must be accompanied by a certified check for 5% of the amount named and may be filed in the County Clerk's office at any time prior to the above named hour. The work consists of filling two deep gullies which cross the road—specifications for which may be found in the Roadmaster's office.

H. S. ANDERSON, County Judge.
W. A. PROCTOR, Commissioner.
W. F. HARRIS, Commissioner.

S. A. D. Hungate, of Molalla, is asking to be appointed administrator of the estate of his brother, the late Graham Hungate, who passed away a short time ago at Molalla from influenza, preceded by the death of his wife. The two left a four-year-old son. The estate is valued at \$1900.

\$3 PER HUNDRED, IS PROFIT HERE ON HENS

Last year the profit on one hundred hens owned by F. P. Wilson of Logan, amounted to over \$3.00 for every bushel of grain fed. Mr. Wilson is fully convinced that his hens are a good investment. They are kept on a general farm, without any special equipment, and without any special care. As proof of his faith in the future of this "side line," he recently purchased three cockerels from a breeder at Maplewood, at the price of \$25.00. These birds come from trapnetted stock and will undoubtedly make a substantial improvement in the laying ability of his flock.

Another man who has faith in poultry for average farm conditions is Henry Smith, of Macksburg. From 400 hens last year he sold over \$1135 worth of eggs, giving him a clear profit of better than \$500. He says his hens paid him better than his cows or his farm crops. Undoubtedly a good farm flock will give good returns, and now is the time to plan for the Spring hatching.

BIG LIQUOR HAUL MADE AT TUALATIN

(Continued from Page 1)

The sheriff was aware that booze was being smuggled from this city to Portland at regular intervals. Up to the time of the arrest Sunday morning, the officials were unable to learn where the booze was coming from. With the elimination of the "Crawfish House" the officers here are of the opinion that they have broken up one of the largest bootlegging joints in this part of the country.

The bootleggers seemed to have plenty of money, and did not hesitate to put up over \$8000 in bail money for their appearance for trial.

A Seventy-Year-Old Couple

Mr. and Mrs. T. B. Carpenter, Harrisburg, Pa., suffered from kidney trouble. He says: "My wife and I suffered from kidney trouble and had rheumatic pains all through the body. The first few doses of Foley Kidney Pills relieved us, and five bottles entirely cured us. Although we are both in the seventies, we are as vigorous as we were thirty years ago."—Jones Drug Co.

Suffers Stroke

Gustave Fredericks, of Parkplace, suffered a stroke of apoplexy Monday morning and is still in a critical condition. He had not regained consciousness, according to report, Tuesday evening. Mr. Fredericks had started for this city, where he has charge of the Busch furniture factory, and was found forty minutes later by his daughter, Miss Marie Fredericks, a deputy in the county clerk's office.

EVERY DEALER IN TOBACCO TO TAKE STOCK INVENTORY

The pending revenue measure which will probably be passed with in a very short time provides increased taxes on cigars, tobacco and cigarettes. Every dealer in these commodities will be required to inventory his stock on the day following the passage of the act and to pay additional tax paid under the present act and that provided by the new act.

There will be certain exemptions allowed, but this matter, as well as the new rates, has not yet been definitely determined.

Every dealer should arrange to keep posted as to the date of the passage of the act and take his inventory on that day.

Blanks for the purpose of filing inventory and return will be furnished by Milton A. Miller, Collector of Internal Revenue, Portland, Oregon, as soon as they are received from the department at Washington. It is possible that arrangements will be made to distribute these blanks through the post offices in Oregon but any dealer who does not receive his blank should apply for it to the collector at Portland.

MONEY CAN BE MADE ON MOLE SKINS NOW!

That moles have any value may be news to people whose gardens are destroyed by these pests every year; but the word has come from the furriers that moleskins are worth from ten cents to half a dollar apiece.

This is a good time of year to trap moles. In order to show the school children how to do it, the county agent has been holding meetings in 12 schools in the north end of the county, at which Mr. T. H. Scheffer of the U. S. Biological Survey gave demonstrations of the best method of setting the trap and skinning the mole. During the next two months it is hoped to hold similar meetings in all the schools of the county. Last year work of this kind in Washington county resulted practically in the extermination of the mole in certain sections. From the enthusiasm of boys and girls in Clackamas county we may look for relief from these

pests as well as a handsome profit on the skins for those who trap industriously.

Was Restless at Night

Sufferers from kidney trouble experience backache, rheumatic pains, aches in joints and muscles and other torturous afflictions. E. W. Kitt, R. F. D. 2, Box 9, Shorters, Ala., writes: "I used Foley Kidney Pills as I was so restless over night with pains in my back and side. They did me good and I truthfully say Foley Kidney Pills is the medicine for kidney trouble."—Jones Drug Co.

LIGHTS GO OUT—JONES, AT COURTHOUSE, SORE

Most of the users of electric lights in this city were compelled to get out candles, lanterns and other light-making devices early this morning, when something went wrong with the main feed wire of the P. R. L. & P. company to this city. All lights of the company here went out about 7:00 o'clock this morning and did not come on again until about 8:30 o'clock. Many homes used up their left-over supply of Christmas candles to good advantage.

The maddest man in town was Mr. Jones, janitor of the courthouse. He arrived to work early, and finding all the lights out, got hold of a smoky lantern, which he carried around the courthouse in his duties, and which looked like a middle-west lightning bug. Mr. Jones, or "Jonesy," as he is known to his friends, claims that another experience like this morning will "drive him to drink."

CHAIRMAN OF W. R. C. SURPRISED BY MEMBERS

Members of the executive committee of the Women's Relief Corps of this city surprised the chairman of the committee, Mrs. Amelia Martin, of Willamette, with a party Friday afternoon. Dinner was served at noon, and the afternoon spent in a social time. The committee is composed of Mrs. Amelia Martin, Mrs. Effie Jenken, Mrs. Lulu Andrus, Mrs. Emma Van Ness, Mrs. Ida Adamson, Mrs. Mattie Hadley, Mrs. Bessie Aldrich, Mrs. Jessie Linn, Mrs. Viola Bennett, and Mrs. H. R. Snidow. Mrs. Catherine Sauers, daughter of Mrs. Martin, was also a guest during the afternoon.

SOME GOOD ADVICE

Strengthened by Oregon City Experiences.

Kidney disease is too dangerous to neglect. At the first sign of backache, headache, dizziness or urinary disorders, you should give the weakened kidneys prompt attention. Eat little meat, take things easier and use a reliable kidney tonic. There's no other kidney medicine so well recommended as Doan's Kidney Pills. Oregon City people rely on them. Here's one of the many statements from Oregon City people.

Mrs. J. B. Schatz, 213 Seventeenth St., says: "I know Doan's Kidney Pills are a medicine of merit and whenever I can recommend them to others I gladly do so. I have taken Doan's Kidney Pills at different times for kidney trouble and backache and they have always done me a lot of good."

Price 60c, at all dealers. Don't simply ask for a kidney remedy—get Doan's Kidney Pills—the same that Mrs. Schatz had. Foster-Milburn Co., Mfrs., Buffalo, N. Y.—(Adv.)

Says County Agent Was Big Factor

To operate a farm of 319 acres with only two young boys to do the work is not an easy job. To make it produce a net profit of \$1,800 in one year under those conditions is considered a real achievement. A farmer near Rockford, Coosa county, Ala., in a letter to the United States Department of Agriculture, gives this as the record made by his own sons. But he adds that the county agent was the big factor in the achievement. It was the agent who helped to select the seed and gave advice on drainage, terracing, pasturing, and the care of the cattle and hogs. "In a general way he has helped by organizing the boys' pig and calf clubs that are working wonders for the improvement of stock," writes this



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farmer. Also he adds that this county agent and his wife "have caused the canning industry at home to increase 500 per cent in the last two years."

OREGON SETTLEMENT PLAN HAS CAPTURED COUNTRY

The Oregon land settlement plan, which provides for the reclamation and purchase of lands for resale to sailors and other desirable settlers, and which practically guarantees the success of the settler by supervision of the farm management department of the Oregon Agricultural College, is the first project of the kind ever attempted, according to H. D. Scudder, professor of farm management, who has just returned from Washington, D. C., where he received promise of favorable legislation on the plan.

Weekly Health Talks

A WORD ABOUT THE KIDNEYS BY DOCTOR WATSON.

People are easily frightened when they think something is the matter with their lungs or heart, and well they may be; but few people understand the dangers of diseased kidneys. These organs have a duty of vital importance to perform, and if they are diseased, there is no telling how or where the symptoms may appear. The kidneys are filters; and when they are healthy they remove the poisons from the blood and purify it. When the kidneys are diseased, the poisons are spread everywhere, and one of these poisons is uric acid. The uric acid is carried all through the system and deposited in various places, in the form of urate salts—in the feet, ankles, wrists and back—often forming bags under the eyes. Sometimes the resulting trouble is called rheumatism, lumbago, sciatica and backache. Finally, come stones in the bladder, diabetes and Bright's disease.

Dr. Pierce, of Buffalo, N. Y., in recent years, discovered that a certain combination of remedies would dissolve uric acid (urate salts) in the system. He found this combination to be harmless, so that he made it up in tablets, of double strength, and called them Anuric Tablets. They dissolve uric acid in the human system as hot coffee dissolves sugar. If you have uric acid troubles, don't delay in taking Anuric Tablets, which can be secured in the drug stores. You can write Dr. Pierce, too, and he will tell you what to eat and how to live so that more uric acid will not form in your system. Dr. Pierce will not charge for this advice.

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YOUR COW OR YOUR PIG—AND PAY CASH
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